The Complete Property Management Guide

Master the Systems That Keep Your Properties Profitable

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1. Property Management Fundamentals

What is Property Management?

Property management is the day-to-day operation of rental properties. Your goal is to maximize profitability while minimizing vacancy, maintenance costs, and tenant issues.

Core Responsibilities

- **Tenant Management**: Screening, communication, conflict resolution
- **Financial Management**: Rent collection, expense tracking, budgeting
- **Maintenance**: Preventive maintenance, emergency repairs, vendor management
- **Legal Compliance**: Fair housing, lease enforcement, documentation
- **Property Preservation**: Regular inspections, condition monitoring, improvements

Key Performance Indicators (KPIs)

- **Occupancy Rate**: Target 95%+ (industry standard is 90-95%)
- **Rent Collection Rate**: Target 99%+ (measure of tenant quality)
- **Maintenance Cost %**: Target 8-12% of gross rental income
- **Tenant Turnover**: Target 20-30% annually (varies by market)
- **Days to Lease**: Target 7-14 days average

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2. Tenant Selection & Onboarding

Pre-Screening Process

Application Requirements

Collect the following information from every applicant:

- Full legal name, date of birth, SSN
- Current employment and income (minimum 3x monthly rent)
- Previous rental history (last 3 addresses, landlord contacts)
- References (personal and professional)
- Authorization to conduct background and credit checks

Income Verification

- **Minimum Income Requirement**: 3x monthly rent (industry standard)
- **Acceptable Income Sources**: W-2 employment, self-employment (2 years tax returns), retirement, disability, child support
- **Verification Methods**: Contact employer, request recent pay stubs (last 2 months), review tax returns
- **Red Flag**: Income from cash-only sources without documentation

Credit Check Analysis

- **Credit Score Minimum**: 650+ (adjust based on market and property type)
- **What to Look For**:
  - Payment history (35% of score) - Look for late payments, collections
  - Credit utilization (30% of score) - Maxed out cards indicate financial stress
  - Length of credit history (15% of score) - Longer history is better
  - Credit inquiries (10% of score) - Multiple recent inquiries suggest desperation
  - Credit mix (10% of score) - Variety of credit types is positive
- **Red Flags**:
  - Recent bankruptcy (within 2 years)
  - Collections accounts or charge-offs
  - Multiple late payments in past 12 months
  - Eviction history
  - Foreclosure or short sale

Background Check

- **Criminal History**: Check for violent crimes, drug offenses, sex offenses
- **Eviction History**: Search court records for previous evictions
- **Address Verification**: Confirm previous addresses match application
- **Employment Verification**: Confirm current employment status

Rental History Verification

Contact previous landlords (at least 2 references):

- "How long did [tenant] live at your property?"
- "Did they pay rent on time?"
- "Were there any maintenance issues or complaints?"
- "Did they give proper notice before moving?"
- "Would you rent to them again?"
- "Why did they move?"

Red Flags:

- Previous evictions
- Chronic late payments
- Maintenance complaints
- Disputes with landlords
- Frequent moves (more than every 2 years)

Tenant Scoring System

Create a scoring system to objectively evaluate applicants:

Criteria	Excellent (3)	Good (2)	Acceptable (1)	Reject (0)
Income	4x+ rent	3-4x rent	2.5-3x rent	<2.5x rent
Credit Score	750+	700-749	650-699	<650
Payment History	No late payments	1-2 late payments	3-4 late payments	Multiple collections
Rental History	5+ years stable	3-5 years stable	1-3 years, some moves	Evictions/disputes
Employment	3+ years current job	1-3 years current	Recently employed	Unemployed/unstable
References	Excellent	Good	Acceptable	Poor/none

Scoring Guide:

- 16-18 points: Excellent tenant - Approve immediately
- 13-15 points: Good tenant - Approve
- 10-12 points: Acceptable - Approve with caution (higher deposit)
- <10 points: Reject

Move-In Process

Pre-Move-In Inspection

- Complete walkthrough with photos/video
- Document all existing damage or wear
- Test all appliances and systems
- Check for cleanliness and pest issues
- Verify utilities are functioning

Move-In Inspection with Tenant

- Walk through property together
- Document condition on move-in checklist
- Have tenant sign and date all documents
- Provide copy to tenant
- Photograph/video any pre-existing damage
- Establish baseline for move-out comparison

Lease Signing

- Explain all lease terms clearly
- Ensure tenant understands rules and policies
- Collect signed lease and all required documents
- Provide copy to tenant
- Collect security deposit and first month’s rent
- Provide receipt for all payments

Tenant Orientation

- Provide welcome packet with:
  - Emergency contact numbers
  - Utility company contacts
  - Maintenance request procedures
  - Lease rules and policies
  - Community information
  - Parking and trash guidelines

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3. Rent Collection & Financial Management

Rent Collection Best Practices

Set Clear Payment Terms

- **Due Date**: Specify exact date (1st of month is standard)
- **Payment Methods**: Accept multiple methods (ACH, check, online portal, credit card)
- **Late Fees**: Clearly state late fee amount (typically 5-10% of rent)
- **Grace Period**: Specify if any (typically 3-5 days)

Automated Collection

- **ACH Payments**: Most reliable - set up automatic transfers
- **Online Portal**: Allow tenants to pay online with automatic reminders
- **Credit Card**: Accept but charge processing fee to tenant
- **Check**: Accept but don’t rely on it

Late Payment Protocol

- **Day 1-3**: Send friendly reminder (email/text)
- **Day 4-5**: Send formal late notice (per lease terms)

- **Day 6-10**: Follow up with phone call
- **Day 11+**: Begin eviction process if lease allows

Rent Collection Tracking

Maintain detailed records:

- Date rent received
- Amount received
- Payment method
- Any partial payments
- Late fees applied
- Bounced checks

Financial Management System

Monthly Accounting

- **Income**: Track all rent received, late fees, other income
- **Expenses**: Categorize all expenses (maintenance, utilities, insurance, taxes, etc.)
- **Net Operating Income (NOI)**: Income minus expenses
- **Cash Flow**: Actual cash in/out (different from NOI for accounting purposes)

Expense Categories

- **Fixed Costs**: Mortgage (if applicable), insurance, property taxes
- **Variable Costs**: Maintenance, repairs, utilities (if you pay)
- **Administrative**: Accounting, legal, property management software
- **Vacancy**: Budget 5-10% for vacancy losses
- **Reserves**: Set aside 10-20% for major repairs/emergencies

Monthly Financial Report Template

```
MONTHLY PROPERTY REPORT - [Property Address]
Month: [Month/Year]

INCOME:
  Rent Collected:              $_______
  Late Fees:                   $_______
  Other Income:                $_______
  TOTAL INCOME:                $_______

EXPENSES:
  Mortgage/Loan Payment:       $_______
  Property Tax:                $_______
  Insurance:                   $_______
  Utilities (if paid by owner):$_______
  Maintenance & Repairs:       $_______
  Property Management:         $_______
  Legal/Accounting:            $_______
  Advertising/Vacancy:         $_______
  Other:                       $_______
  TOTAL EXPENSES:              $_______

NET OPERATING INCOME:          $_______
Cash Flow (after debt service):$_______
```

Annual Analysis

- Compare year-over-year performance
- Identify trends in expenses
- Evaluate rent increases needed
- Plan for major maintenance/replacements
- Calculate actual ROI and cash-on-cash return

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4. Maintenance & Property Upkeep

Preventive Maintenance Schedule

Monthly Tasks

- Inspect exterior for damage
- Check for pest activity
- Test smoke/CO detectors
- Inspect common areas (if multi-unit)
- Review maintenance requests

Quarterly Tasks

- HVAC filter changes
- Gutter cleaning (if applicable)
- Inspect plumbing for leaks
- Check caulking around tubs/showers
- Inspect foundation for cracks

Annual Tasks

- Professional HVAC inspection
- Roof inspection
- Septic system inspection (if applicable)
- Electrical system inspection
- Appliance maintenance
- Landscaping/tree trimming
- Pest control service

Every 3-5 Years

- Roof replacement/repair
- HVAC system replacement

- Appliance replacement
- Flooring refinishing
- Paint interior/exterior
- Plumbing updates

Maintenance Request Management

Tenant Request Process

- Provide multiple ways to submit (phone, email, online portal)
- Respond within 24 hours (even if just to acknowledge)
- Categorize by urgency:
  - **Emergency**: Safety hazard, no heat/AC, no water - respond same day
  - **Urgent**: Major inconvenience - respond within 3 days
  - **Routine**: Minor issues - respond within 7 days

Maintenance Log Template

```
MAINTENANCE LOG - [Property Address]

Date Reported: ________
Tenant: _________________
Issue Description: ____________________
Urgency Level: [ ] Emergency [ ] Urgent [ ] Routine

Contractor Called: ____________________
Date of Service: _______________________
Work Performed: ________________________
Cost: $__________
Date Completed: ________________________
Tenant Satisfied: [ ] Yes [ ] No
Notes: ___________________________________
```

Vendor Management

Contractor Selection

- Get 3 quotes for major work
- Check references and licensing
- Verify insurance coverage
- Review past work quality
- Negotiate rates for ongoing work

Contractor Relationships

- Maintain list of reliable contractors
- Negotiate preferred rates
- Build relationships for faster response
- Document all work performed
- Keep copies of invoices and warranties

Cost Control

- Set approval limits (500,1000, etc.)
- Require quotes for work over limit
- Negotiate bulk discounts
- Schedule preventive maintenance to avoid emergencies
- Track contractor costs by category

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5. Tenant Relations & Communication

Effective Communication

Regular Contact

- Check in quarterly (even if no issues)

- Send holiday greetings
- Provide advance notice of inspections
- Communicate about maintenance plans
- Share important updates

Professional Tone

- Always be respectful and professional
- Document all communications
- Use written communication for important matters
- Keep records of all interactions
- Respond promptly to inquiries

Conflict Resolution

- Listen to tenant concerns
- Respond within 24 hours
- Offer solutions, not excuses
- Document all disputes
- Follow lease terms strictly
- Escalate to attorney if needed

Lease Enforcement

Rule Violations

- **Minor Violations**: Send written warning
- **Repeated Violations**: Send formal notice to cure or quit
- **Serious Violations**: Proceed with eviction if necessary

Common Violations

- Unauthorized occupants
- Pets (if not allowed)

- Noise complaints
- Parking violations
- Maintenance of property
- Illegal activity

Documentation

- Keep detailed records of all violations
- Document dates, times, and details
- Keep copies of all notices sent
- Photograph/video evidence if applicable
- Maintain communication logs

Lease Renewal & Move-Out

Lease Renewal Process

- Provide renewal notice 60-90 days before expiration
- Offer rent increase (if applicable) with justification
- Allow time for tenant decision
- Document acceptance or non-renewal
- Plan for turnover if tenant leaving

Move-Out Inspection

- Schedule inspection 24-48 hours before move-out
- Document condition with photos/video
- Compare to move-in inspection
- Identify damage beyond normal wear
- Provide itemized deduction list if applicable
- Return security deposit within legal timeframe

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6. Legal Compliance & Documentation

Fair Housing Compliance

Protected Classes

Never discriminate based on:

- Race or color
- National origin
- Religion
- Sex or gender identity
- Disability
- Familial status
- Sexual orientation

Best Practices

- Use objective criteria for all decisions
- Document all decisions with reasons
- Apply rules consistently to all tenants
- Provide reasonable accommodations for disabilities
- Keep records of all applicants and decisions

Required Documentation

Lease Agreement Must Include

- Names of all parties
- Property address and description
- Lease term and renewal terms
- Rent amount and due date
- Security deposit amount and terms

- Late fees and penalties
- Maintenance responsibilities
- House rules and policies
- Termination clauses
- Signatures and dates

Required Disclosures

- Lead-based paint (if built before 1978)
- Mold disclosure (varies by state)
- Property condition disclosure
- HOA documents (if applicable)
- Utility information
- Local housing authority information

Record Keeping

- Keep all lease agreements
- Maintain tenant files with all documentation
- Keep copies of all communications
- Document maintenance and repairs
- Track all financial transactions
- Keep records for 3-7 years minimum

Eviction Procedures

Legal Grounds for Eviction

- Non-payment of rent
- Lease violations
- End of lease term (non-renewal)
- Illegal activity
- Property damage beyond normal wear

Eviction Process

1. Send formal notice (3-30 days depending on state)
2. Tenant has opportunity to cure or vacate
3. File eviction with court if tenant doesn't comply
4. Attend court hearing
5. Obtain judgment
6. Sheriff enforces eviction if necessary

Important: Follow all state and local laws. Consider hiring attorney for evictions.

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7. Emergency Procedures

Emergency Response Plan

Natural Disasters

- **Flooding**: Shut off electricity, contact water damage restoration, document damage
- **Fire**: Evacuate immediately, call fire department, do not re-enter
- **Severe Weather**: Secure property, check for damage, document with photos
- **Earthquake**: Check for structural damage, shut off gas if smell detected

Utility Emergencies

- **No Heat**: Provide temporary heat, contact HVAC contractor
- **No Water**: Contact plumber, provide bottled water if needed
- **Gas Leak**: Evacuate immediately, call gas company
- **Electrical Fire**: Shut off power at breaker, call fire department

Tenant Emergencies

- **Medical**: Call 911
- **Break-in**: Call police, document damage

- **Injury**: Call 911, document incident
- **Threats**: Call police, document threats

Emergency Contact List

Maintain and provide to tenants:

- Your contact number
- Backup contact (property manager, family member)
- Emergency services (911)
- Utility companies (gas, electric, water)
- Plumber
- HVAC contractor
- Electrician
- Police non-emergency number
- Local hospital

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8. Financial Tracking & Analysis

Key Metrics to Monitor

Profitability Metrics

- **Gross Rental Income**: Total rent collected
- **Operating Expenses**: All costs to operate property
- **Net Operating Income (NOI)**: Income minus expenses
- **Cap Rate**: NOI divided by property value
- **Cash-on-Cash Return**: Annual cash flow divided by cash invested

Efficiency Metrics

- **Occupancy Rate**: Percentage of time property is rented

- **Rent Collection Rate**: Percentage of rent actually collected
- **Expense Ratio**: Operating expenses as percentage of income
- **Maintenance Cost %**: Maintenance as percentage of income

Tenant Quality Metrics

- **Turnover Rate**: How often tenants move
- **Late Payment Rate**: Percentage of late rent payments
- **Eviction Rate**: Number of evictions
- **Tenant Retention**: Percentage of tenants who renew

Annual Financial Review

Income Analysis

- Compare year-over-year rent collected
- Analyze vacancy patterns
- Identify seasonal trends
- Plan for rent increases
- Budget for expected vacancy

Expense Analysis

- Review each expense category
- Identify trends (increasing/decreasing)
- Compare to budget
- Look for opportunities to reduce costs
- Plan for major expenses

ROI Calculation

```
Cash-on-Cash Return = Annual Cash Flow / Cash Invested × 100

Example:
Annual Cash Flow: $12,000
Cash Invested: $50,000
ROI: $12,000 / $50,000 = 24%
```

Property Valuation

- Cap Rate Method: NOI / Cap Rate = Value
- Income Approach: Consider NOI and market conditions
- Comparable Sales: Compare to similar properties
- Cost Approach: Building cost + land value

Tax Documentation

Deductible Expenses

- Mortgage interest (not principal)
- Property taxes
- Insurance
- Maintenance and repairs
- Utilities (if you pay)
- Advertising
- Legal and accounting fees
- Property management fees
- Depreciation

Required Records

- All receipts and invoices
- Bank statements

- Lease agreements
- Tenant records
- Maintenance logs
- Utility bills
- Tax documents

Depreciation

- Residential property: 27.5 years
- Commercial property: 39 years
- Appliances and fixtures: Shorter periods
- Consult with CPA for specifics

Conclusion

Effective property management requires systems, documentation, and consistency. By implementing these practices, you'll:

- Attract and retain quality tenants
- Minimize vacancy and maintenance costs
- Maximize profitability
- Reduce legal issues
- Build a scalable business

Remember: Your property is an investment. Treat it like a business, not a hobby.